Minimum Performance Specifications (Shaded)

Table 9

ACCs		Energy Density (Wh/Kg) ~ (Specific Density)				
		≥50	≥125	≥200	≥275	≥350
Cycle Life	<1000	Not applicable	Not applicable	Not applicable	Not applicable	ACC (1/5)
	≥1000				ACC (2/4)	ACC (2/5)
	≥2000			ACC (3/3)	ACC (3/4)	ACC (3/5)
	≥4000		ACC (4/2)	ACC (4/3)	ACC (4/4)	ACC (4/5)
	≥10000	ACC (5/1)	ACC (5/2)	ACC (5/3)	ACC (5/4)	ACC (5/5)

Medical Devices

Table 10

Segment	Incentive Rate (on Incremental Sales of Manufactured Goods)	Threshold Mininum Investment	Threshold Minimum Incremental Sales of Manufactured Goods
All four segments of medical devices (detailed in Annexure A)	Year 1: 5% Year 2: 5% Year 3: 5% Year 4: 5% Year 5: 5%	₹1,800 million over 3 years Cumulative Minimum (million): Year 1: 600 Year 2: 1,200 Year 3: 1,800	Year 1: ₹1,200 million Year 2: ₹2,400 million Year 3: ₹3,600 million Year 4: ₹4,600 million Year 5: ₹5,600 million

Note: Year 1 means Financial Year 2021-22

conditioners (ACs), on the other hand, are a consumer electronics category that is yet to penetrate the country on a larger scale. Keeping in focus the importance of these two categories, the government of India has announced PLI for ACs and LEDs also. Announced by the Ministry of Commerce and Industry, the PLI for ACs and LEDs includes an incentives allocation of 62.38 billion rupees.

The primary aim of this PLI is to remove sectoral disabilities, create economies of scale, enhance exports, and create a robust component ecosystem and employment generation. The components of the ACs included in the scheme are aluminium foil, copper tube, compressor (rated as high-value intermediates) and PCB assembly for controllers, BLDC motors, service valves for ACs, cross-flow fans along with other components (rated as lower-value intermediates).

Similarly, the components of LEDs included in the scheme are LED chip packaging, resistors, ICs, fuses, and large scale investments (rated as core LED components), and LED chips, LED drivers, LED engines, mechanicals, packaging, modules, wire-wound inductors (rated as components).

The PLI scheme for white goods promises to extend an incentive of four to six percent on incremental sales of goods manufactured in India for a period of five years to companies engaged in manufacturing of ACs and LED Lights.

The government of India expects that this PLI scheme will lead to incremental investment of 79.2 billion rupees, incremental production worth 1,680 billion rupees, exports worth 644 billion rupees, earn direct and indirect revenues of 493 billion rupees, and create additional 400,000 direct and indirect employment opportunities. The government has made it clear that mere assembly of finished goods will not be incentivised.

Advanced-chemistry cell batteries

Keeping everything in mind including smartwatches, smartphones, electric vehicles, and almost everything that runs on a battery, the government has also approved PLI for ACC battery storage. Announced by the Ministry of Heavy Industries and Public Enterprises, a total of 181 billion rupees has been placed as the budgetary outlay of the scheme. ACCs, in simple language, are the new generation of advanced storage technologies that can store electric energy either as electrochemical or as chemical energy and convert it back to electric energy as and when required.

"With PLI, we will not only reduce import but also enable production of the batteries which are not yet being manufactured in the country. These batteries will accelerate e-mobility in the country. Long-lasting, efficient, and quick charging capable batteries are the need of the hour. Till now, the battery storage segment was not growing fast because we were not manufacturing the batteries," The Minister of Environment, Forest and Climate Change, Information and Broadcasting and Heavy Industries and Public Enterprises, Prakash Javadekar said in the Parliament. It is worth mentioning here that India, on an average, imports almost 200 billion rupees worth of batteries for energy storage every year.

Each selected ACC battery storage manufacturer would have to commit to set up an ACC manufacturing facility of minimum 5GWh capacity and ensure a minimum 60 percent domestic value addition at the project level within five years. Further, the beneficiary firms have to achieve a domestic value addition of at least 25 percent and incur the mandatory investment 2.25 billion rupees per GWh within two years (at the mother unit level) and raise it to 60 percent domestic value addition within five Years, either at mother unit in case of an integrated unit, or at the project level in case of 'hub & spoke' structure.

While year 2022-23 and 2023-24 have been marked as the timeframe for setting up the manufacturing facilities, an amount of 27 billion rupees has been earmarked as incentive for 2024-25 period. Similarly, amounts of 38, 45, 43, and 28 billion rupees have been earmarked as incentives for year 2025-26, 2026-27, 2027-28, and 2028-29, respectively.

"We thank the government for approving the PLI scheme for promoting battery storage. It would strengthen our 'Make in India' initiative and also attract huge investments in the EV industry in the next 1-2 years. Battery occupies a larger portion of any electric vehicle's cost. Thus, the right policy move will help